Practice workbook · The suspense account

When a suspense account is opened and writing it up from the trial balance difference and the suspense legs of correcting entries.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-CTL-09

1. Question 15 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

15 Yasin has prepared a trial balance at 30 April 2019 that did not balance. The totals were debit $41 970 and credit $42 550.

The following errors and omissions were discovered.

1. The total of the sales day book had been overcast by $200.
2. Motor repairs, $180, had been posted to the debit side of the motor vehicles account.
3. A payment of $450 to Raul, a credit supplier, had been entered correctly in the cash book but had not been posted to Raul's account.
4. Discounts received of $80 had been posted to the debit side of the discounts allowed account.
5. Cash sales, $540, had not been recorded.
6. A payment for rent $430 had been recorded correctly in the cash book but as $340 in the rent account.

(a) Complete the table.

(3)

Error	Type of error
2	
5	
6	

(b) Prepare the suspense account at 30 April 2019.

(6)

Suspense Account

Date	Details	$	Date	Details	$

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1. Question 15 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

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(c) Complete the table to indicate with a tick (✓) the effect the **correction** of each error would have on the profit for the year.

(6)

Error	Increase	Decrease	No effect
1			
2			
3			
4			
5			
6			

(Total for Question 15 = 15 marks)

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1. Question 15 · part b · 6 marks · Working and answer

Working and answer

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2. Question 17 · part a · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part a only.

17 (a) State **two** purposes of a suspense account.

(2)

1 .....

2 .....

(b) Complete the following table for each scenario.

(6)

Scenario	Type of error	Account to be debited	Account to be credited
A payment received from Jon, $200, was entered in Ron's account			
A cheque, $376, for wages was entered in the cashbook and the wages account as $367			

(c) Evaluate how the introduction of accounting software will improve the accuracy of a business's accounts.

(5)

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2. Question 17 · part a · 2 marks · Working and answer

Working and answer

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3. Question 15 · part c · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c only.

15 On 31 August 2023 Jones, a sole trader, identified the following errors and omissions.

1. A withdrawal of cash for personal use, $650, had not been recorded.
2. A payment for motor expenses, $234, had been posted to the motor vehicles account.
3. A cheque paid for general expenses, $65, had been entered in the cash book as $56

(a) Prepare journal entries to record the correction of **each** of these errors and omissions.
Narratives are not required.

(6)

	Account	Debit $	Credit $
August 31			

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3. Question 15 · part c · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c only.

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(b) Identify, indicating with a tick (✓), the effect, if any, on the profit for the year ended 31 August 2023 following the correction of **each** error and omission.

(3)

Error	Increase	Decrease	No effect
1			
2			
3			

(c) State which account is opened when a trial balance does not balance.

(1)

.....

(d) (i) Explain **one** benefit of preparing a trial balance.

(2)

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(ii) Explain **one** limitation of preparing a trial balance.

(3)

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(Total for Question 15 = 15 marks)

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3. Question 15 · part c · 1 mark · Working and answer

Working and answer

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4. Question 15 · part b · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

15 (a) State **two** purposes of a trial balance.

(2)

1 .....

.....

2 .....

.....

(b) State the name of the account that is opened if a trial balance does not balance.

(1)

.....

On 31 March 2024 Harum prepared a trial balance that did not agree.

An investigation revealed the following errors.

- A cash payment for stationery, $300, had been entered as $30
- No entries had been made for goods, cost $550, taken by Harum for his own use.
- The purchase of a new motor vehicle, $10 000, had been posted to the motor expenses account.
- A credit purchase, $85, from Son, had been credited to the account of Song.

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4. Question 15 · part b · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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(c) Prepare journal entries to correct **each** error.
Narratives are required and must state the **type** of error involved.

(12)

Journal

Date	Account	Debit $	Credit $
31 March			

(Total for Question 15 = 15 marks)

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4. Question 15 · part b · 1 mark · Working and answer

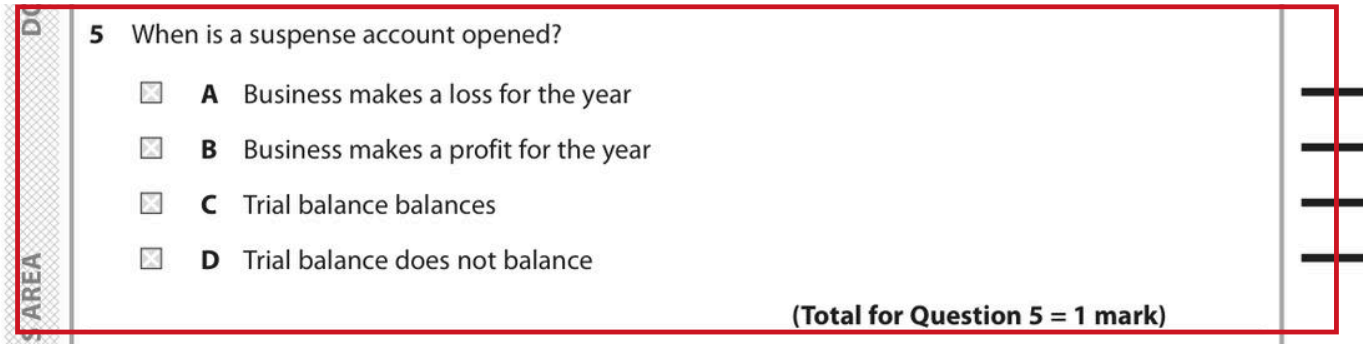
Working and answer

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5. Question 5 · part whole · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.



5 When is a suspense account opened?

- ☒ **A** Business makes a loss for the year
- ☒ **B** Business makes a profit for the year
- ☒ **C** Trial balance balances
- ☒ **D** Trial balance does not balance

(Total for Question 5 = 1 mark)

Working and answer

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6. Question 15 · part c · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

15 (a) State **two** types of error that do **not** affect the balancing of the trial balance.

(2)

1 .....

2 .....

Brandon, a sole trader, has prepared a trial balance that does not balance.

He discovers the following errors in his books of account at 30 April 2025.

1. The motor expenses account had been undercast by $200
2. The purchase of a motor vehicle, $2 000, had been entered in the motor expenses account.
3. A receipt from Palmer, a trade receivable, $60, had been posted to the account of Parker.
4. A cheque payment for wages, $154, had been correctly recorded in the bank account but had been posted to the wages account as $145
5. A cheque payment for stationery, $40, had been debited to the bank account and credited to the stationery account.

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6. Question 15 · part c · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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(b) Prepare journal entries to correct **each** error. Narratives are **not** required.

(10)

Journal

Date 2025	Account	Debit $	Credit $
April 30			

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(c) Prepare the suspense account at 30 April 2025.

(3)

Suspense Account

Date 2025	Details	$	Date 2025	Details	$

(Total for Question 15 = 15 marks)

6. Question 15 · part c · 3 marks · Working and answer

Working and answer

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